Northwind Logistics, Inc.

earnings call | Q3 FY2025 · Jul-Sep 2025

BEARISH DISCLOSURE READ, NOT A VIEW ON THE SHARES

Management cut FY2025 revenue by $200M (3.4%) and adjusted EPS by $0.53 (7.2%) at the midpoint, declined to reaffirm the FY2026 mid-87s operating ratio target, cut capex 12%, deferred a terminal opening, moderated buybacks, and stated October is tracking in line with the weakest month of the quarter. The CFO framed the wage-versus-yield gap as a structural, non-cyclical headwind. The last-mile profitability milestone and held pricing are real positives but immaterial against a decelerating core volume trajectory and a withdrawn forward margin target.

ANALYST SUMMARY

Q3 was a volume-driven miss: revenue +0.7% to $1.39B with adjusted EPS (4.5)% to $1.71 and OR 140 bps worse at 89.8%. Yield did its job (+5.1% ex-fuel) but tonnage (4.3)% - against a July assumption of flat to (2)% - plus ~$40M of annualized revenue deliberately shed, overwhelmed it on a fixed-cost network. The guidance bridge is the story: FY2025 revenue to $5.55-5.65B from $5.75-5.85B (-$200M midpoint, (3.4)%), adjusted EPS to $6.60-6.85 from $7.10-7.40 (-$0.53 midpoint, (7.2)%), capex to $360M from $410M, and - most consequentially - the FY2026 mid-87s OR path is no longer reaffirmed, with guidance deferred to January. Q4 is set at tonnage (4)% to (6)% with yield ~4.5%, below the ~6% driver wage inflation; the CFO conceded under questioning that this gap is structural and that density, the offset, is precisely what volume decline removes. Exit-rate commentary is unhelpful: October in line with September, the quarter's worst month at (5.6)%. Offsets are genuine but small relative to the core: last-mile at $204M (+19%, decelerating from +24%) turned profitable for the first time at 0.4% margin on durable insourcing, pricing discipline is intact, leverage is 1.4x and FCF $88M. Watch the lane-by-lane threshold review the CEO flagged - a potential crack in pricing discipline - and January FY2026 guidance as the next catalyst.

REPORTED FINANCIALS

METRIC	THIS PERIOD	PRIOR YEAR	CHANGE
Revenue	$1.39B	$1.38B	+0.7% (+1.4% ex-fuel surcharge)
Adjusted EPS	$1.71	$1.79	(4.5)%
GAAP EPS	$1.63	Not disclosed	Not comparable
Operating ratio	89.8%	88.4% (implied from +140 bps deterioration)	+140 bps (worse)
Tonnage per day	Not disclosed	Not disclosed	(4.3)% YoY; September (5.6)%
Revenue per cwt ex-fuel (yield)	Not disclosed	Not disclosed	+5.1%

GUIDANCE BRIDGE

GUIDANCE	PRIOR	CURRENT	CHANGE AT MIDPOINT
FY2025 revenue	$5.75B-$5.85B	$5.55B-$5.65B	-$200M at midpoint, (3.4)%
FY2025 adjusted EPS	$7.10-$7.40	$6.60-$6.85	-$0.525 at midpoint, (7.2)%
FY2025 capital expenditures	$410M	$360M	-$50M, (12.2)%
FY2026 operating ratio target	Mid-87s (discussed in July)	Withdrawn - not reaffirmed; FY2026 guidance in January	Withdrawn

Q4 FY2025 tonnage / yield assumption	No prior guide	Tonnage down 4% to 6%; yield improvement ~4.5%	New guide

COMPANY OVERVIEW

Northwind Logistics is a US less-than-truckload and logistics carrier operating a terminal network with linehaul and cross-border service, plus a growing last-mile delivery segment. Revenue is driven by tonnage, yield (revenue per hundredweight) and fuel surcharge.

WHAT THE NUMBERS SAY

Revenue of $1.39B rose 0.7% YoY (+1.4% excluding fuel surcharge), with the entire shortfall driven by volume: tonnage per day fell 4.3% versus a July assumption of flat to down 2%, and deteriorated through the quarter to (5.6)% in September. Yield held, with revenue per hundredweight ex-fuel up 5.1%, but was insufficient to offset deleverage on a largely fixed terminal network. Management deliberately walked away from ~$40M of annualized revenue that failed margin thresholds amid aggressive competitor discounting. Last-mile was the bright spot at $204M, +19%, and posted its first-ever profitable quarter at a 0.4% operating margin. Free cash flow was $88M; net leverage 1.4x adjusted EBITDA; buybacks moderated to $20M in the quarter.

YEAR-OVER-YEAR GROWTH

Revenue +0.7% YoY (+1.4% ex-fuel); adjusted EPS (4.5)% to $1.71 from $1.79; operating ratio 140 bps worse at 89.8%. Tonnage/day (4.3)%, yield ex-fuel +5.1%, last-mile revenue +19% (decelerating from +24% in Q2). Cost lines: driver wage inflation ~6% per hour, insurance and claims expense +12% YoY; purchased transportation improved on insourcing of last-mile capacity.

MANAGEMENT GUIDANCE AND OUTLOOK

FY2025 revenue guidance cut to $5.55-5.65B from $5.75-5.85B and FY2025 adjusted EPS cut to $6.60-6.85 from $7.10-7.40. The revised range assumes Q4 tonnage down 4% to 6% with yield improvement of approximately 4.5% as renewal increases moderate from high-single-digit levels. FY2025 capex reduced to $360M from $410M on the San Antonio terminal deferral and a smaller tractor buy. Critically, the previously discussed path to a mid-87s operating ratio in FY2026 was not reaffirmed; FY2026 guidance comes in January. San Antonio terminal opening pushed to FY2026; headcount down 3% since June via attrition; linehaul schedules cut on lowest-density lanes. Management is explicitly not calling a bottom and plans for soft demand through at least calendar year-end, with October to date tracking in line with September.

TOP RISKS

1. Volume deterioration is accelerating, not stabilizing: tonnage (4.3)% in Q3 with September at (5.6)% and October tracking in line with September; management explicitly will not call a bottom and guides Q4 tonnage down 4-6%.
2. Structural cost-price gap: driver wage inflation ~6% against guided yield of ~4.5%, compounded by insurance and claims +12% YoY, with density gains - the offset - eroded by falling volume. This is why the mid-87s FY2026 OR target was pulled.
3. Credibility risk on guidance: the July guide assumed tonnage flat to down 2% versus (4.3)% actual, and the CEO conceded the guidance was too optimistic; the FY2025 cut may not be the last if industrial destocking persists.

TOP OPPORTUNITIES

1. Last-mile inflected to profitability for the first time ($204M revenue, +19%, 0.4% operating margin) on a durable shift from purchased transportation to owned capacity, with management expecting continued profitability.
2. Pricing discipline preserved: yield +5.1% ex-fuel held through a severe volume downturn and ~$40M of annualized revenue was shed rather than priced below cost of capital, protecting incremental margin when tonnage returns.
3. Balance sheet and cost flexibility: 1.4x net leverage, $88M quarterly FCF, capex cut $50M, San Antonio deferred, headcount down 3% via attrition - a leaner fixed-cost base levered to an industrial recovery, plus the newly opened

Laredo cross-border terminal running in line with plan.

KEY EXECUTIVE QUOTES

> *“Our July guidance assumed tonnage flat to down 2%, and we delivered down 4.3%. The industrial destocking was deeper and broader than customers told us it would be, and we compounded it by declining unprofitable freight. I own that the guidance was too optimistic on volume.”*
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> **DANA WHITFIELD, PRESIDENT AND CEO · Q&A**

> *“If yield settles in the mid-4s and wages stay near 6%, we need productivity and density gains to close that gap, and density is exactly what a volume decline takes away. That’s the honest picture, and it’s a large part of why we’re not reaffirming the fiscal 2026 target.”*
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> **MARCUS LEE, EVP AND CFO · Q&A**

> *“Our view is that freight priced below our cost of capital doesn’t become profitable because the network has spare capacity; it just makes the network busier while destroying value. So the principle holds. That said, we’re reviewing our thresholds lane by lane...”*
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> **DANA WHITFIELD, PRESIDENT AND CEO · Q&A**